Underwriting Overview

TEXAS OCCIDENTAL HOMEOWNERS PROGRAM (HO3)

SAGESURE INSURANCE MANAGERS LLC
A Licensed Property Casualty Insurance Agency

CARRIER
Occidental Fire & Casualty Company of North Carolina
Rated A- (Excellent) by AM Best

PRIVILEGED AND CONFIDENTIAL

Risk Characteristic	Description
Address	Property must be located in: • South Texas (meaning a county located entirely south of 31 degrees North) except Nueces county, or • One of the following counties in East Texas: Bell, Falls, Robertson, Leon, Madison, Houston, Trinity, and Polk.
Named Insured	A Homeowner Policy may be issued to the following as long as the property is used exclusively for private residential purposes: • Owner occupant of a one, two, three or four family dwelling. • Dwelling properties must be individually owned and occupied, or owned together by two individuals as long as one of the individuals occupies the residence. A married couple is considered one individual. Corporate / Business, LLC, association, partnership or other non-individual owned properties are ineligible.
Location	The following are ineligible: • Any main residence with all or any part of residence built over water or only accessible by water. Note: Other structures built over water such as a boat house are eligible, even if connected by a dock, walkway or fence. • Residence constructed in a condemned area or area scheduled to be condemned due to urban renewal, highway construction or other public project.
Forms	These forms are eligible: • HO 00 03
Policy Period	One year policy period only.
Year of Construction	All years are allowed, subject to all other eligibility criteria.
Occupancy	These occupancies used exclusively for private residential purposes, except as provided for in incidental business on premises sections of the eligibility, are eligible: • Dwellings must be owner occupied: ○ Primary Occupancy eligible if: ▪ One to four family. ▪ Rented no more than 2 weeks. • Note: For multi-family homes, only the insured's own primary occupancy unit cannot be rented more than 2 weeks. Rental of the other units are eligible, subject to all other guidelines for rental exposures. ▪ Residence <u>not</u> continuously unoccupied 3 or more consecutive months. ○ Seasonal or Secondary Residence eligible if: ▪ Single family. ▪ No rental occupancies. ▪ The owner has made arrangements to have the property checked at least once per month while the owner is away. ▪ Residence <u>not</u> continuously unoccupied 3 or more consecutive months • Residence Held in Trust if the residence is occupied by the trustee, the grantor of the trust, or the beneficiary of the trust, and

This list is not all inclusive. If any questions, please check with your underwriter.

Risk Characteristic	Description
	○ the trust is a Family held trust, and ○ there is only one trust on the property (if there are multiple trusts, the risk is ineligible). • Owner occupied, primary residence with mailing address different from residence premises address and post office box addresses: These will be investigated by an underwriter to determine that the separate mailing address and/or post office box is for convenience of mail delivery/pick up or handling of business affairs and/or not an occupancy issue. • New home purchase not to be occupied within 30 days of purchase must be referred to underwriting with the reason(s) for the delayed occupancy date: These will be investigated by an underwriter to determine if there is a major renovation or occupancy issue. The following are ineligible: • Vacant, unoccupied or for sale properties. • Properties under construction. • Dwellings purchased at, from or through foreclosure, bank or trustee sale are only acceptable if the insured provides a copy of the Uniform Residential Appraisal Report or equivalent to the Company as a part of the application demonstrating that the dwelling is in condition to be occupied without significant renovation required. • Dwellings originally built for other than private residence occupancy.
Rental Occupancies – Lead Paint Exposures	Lead exposure is excluded, so potential lead exposures (rentals built prior to 1980) are eligible.
Rental Occupancy Limitations	These rental occupancies are eligible. There is a total limit of three full time rentals of any of the following: • Two to four family dwelling where insured occupies one of the family units. ○ Note: For multi-family homes, only the insured's own primary occupancy unit cannot be rented more than 2 weeks per the Occupancy guidelines. Rental of the other units are eligible, subject to all other guidelines for rental exposures. • Other structures on residence premises rented to others for dwelling purposes only. The following are ineligible: • Risks with any tenants, roomers or boarders renting on a short-term basis, such as vacation-only or weekly rentals. ○ Note: Tenants include entire home rentals, other rental units of a multi-family dwelling, or rented other structures. • Properties rented to full-time students. • More than 2 unrelated tenants per unit. ○ Note: For Multi-Family homes, each family unit (2-4) can have 2 unrelated tenants each. • Short-term rentals for the non-owner occupied units of a multi-family dwelling or an Other Structure rented to others with pools of less than 6 month lease and including any day/party rentals such as Swimply: **Notes**: ▪ If more than 1 unit is a rental (ex: 3-4 family home) then all units must have a full-time renter to be eligible.

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	▪ Long term renter is defined as a tenant that is renting the home for 6 months or more. If a unit does not yet have a tenant, but is available / held for rental, it is acceptable if the renter is long-term. For rating and underwriting purposes, any residence rented or held for rental for more than two weeks on an annual basis, is considered to be a rental.
Incidental Business on Premises	Any business with any employees, business that involves client or customer traffic or involves products on premises makes the policy ineligible.
Child Care On Premises	Any child care or day care on premises makes the policy ineligible.
Farming or Ranching	Any farming or ranching exposures other than an incidental garden for family use is ineligible.
Acreage	Over 5 acres is eligible as long as no remuneration is received for the use of the property by third parties for farming, recreation, hunting, hiking, swimming or any purpose that could create a liability exposure. A pre-bind underwriting referral is required.
Construction – Mobile Homes, Motor Homes or Manufactured Homes – Primary Home and/or Other Structures	Mobile Homes, Manufactured Homes, or Motor Homes being used as a residence on the property and not used only for recreational purposes (primary home or other structures) are ineligible. Generally, these are constructed to be mobile. They can be placed with or without a foundation. The existence of a permanent foundation does not make them eligible. The removal of any wheels would not make them eligible. To be eligible the home must be a permanent dwelling on a permanent foundation with the final construction occurring at the home site (e.g., modular homes constructed at the home site are eligible). Note: Motor Homes being used as a residence, Mobile Homes, or Manufactured Homes on the property are unable to be excluded in order to make the policy eligible, as these present an increased liability and physical loss hazard.
Construction – Metal Buildings	Primary dwellings that are metal buildings are ineligible. Large metal other structures (over 750 square feet) (e.g., barn, shed, pool house, guest house, workshop, boat house) are eligible by referral if they are: • In good condition and repair, • Of solid construction, • Used for personal use only, and • Overall quality of the risk is above average. Note: An otherwise eligible primary residence with an ineligible other structure could be eligible if the ineligible other structure is excluded via the Coverage B Other Structures Exclusion HC045141 (excludes all Other Structures and provides no Coverage B) or the Specified Other Structure(s) Exclusion HC175142 (excludes a specifically identified Other Structure). The underwriter must be satisfied that the primary structure is otherwise completely eligible.
Construction – EIFS, DEFS and DRYVIT construction materials	Dwellings with Exterior Insulation and Finish Systems (EIFS), Direct Applied Exterior Finish Systems (DEFS) and Dryvit construction materials are ineligible unless used as trim or comprising only a minimal portion of total siding. This construction exposure is also excluded. Although excluded, we still will decline homes unless used as trim or minimal portion of siding.

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Risk Characteristic	Description
Construction – Screened Enclosures	Mandatory endorsement Swimming Pool And/Or Patio Enclosure Exclusion And Limited Coverage endorsement HC1753301 excludes windstorm and hail coverage for: • any pool roof cover, pool cage or patio cover, whether attached to the house or not, • any patio cover (whether screened or not screened), and • aluminum carports Note: This exclusion does not apply to a patio enclosure or carport that is fully covered by the roof of the main dwelling. For an additional premium, the policy may be endorsed to add limited coverage up to $50,000 for a swimming pool or patio screened enclosure. When this coverage is purchased, the selected limit of liability and associated premium will be shown on the declaration under the Swimming Pool And/or Patio Enclosure Exclusion And Limited Coverage Endorsement HC1753301.
Construction – Open Foundations and Pilings, Piers, Pillars or Posts	Dwellings with open foundations, including pilings, piers, pillars or posts are eligible. Dwellings not on a permanent foundation are ineligible.
Unconventional Construction – Primary Residence and Other Structures	Log, earth, underground, "do it yourself", Geodesic "Dome" homes, homes of A-Frame construction, or other types of unconventional construction homes (including additions or other structures on the residence premises) are ineligible. The main dwelling is always ineligible. Other structures can be referred to the underwriter for consideration. Note: An otherwise eligible primary residence with an unconventional other structure could be eligible if the unconventional other structure is excluded via the Coverage B Other Structures Exclusion HC045141 (excludes all Other Structures and provides no Coverage B) or the Specified Other Structure(s) Exclusion HC175142 (excludes a specifically identified Other Structure). The underwriter must be satisfied that the primary structure is otherwise completely eligible.
Wildfire Exposure	Dwellings with a wildfire score in excess of 80 and within 250 feet of wildland are ineligible.
Liability Exposure – Fuel Tanks and escaped fuel	Properties with underground Fuel Tanks (active or inactive) are eligible. Coverage for Escaped Liquid Fuel is excluded.
Ordinance and Law Coverage	The base policy automatically provides up to 10% of the Coverage A Limit. Only increased limits of 25% is offered.
Water Back Up and Sump Discharge or Overflow Coverage	A previous water back up or sump discharge or overflow claim makes this coverage endorsement ineligible. Limits of $5,000, $10,000, $15,000, $20,000 and $25,000 are available.
Liability Exposure – Swimming Pools	Pools must be constructed and maintained to provide adequate safety. The following are ineligible: • Unfenced or unwalled in ground pools, or fenced/walled without a combination or padlocked gate or self-locking or self-latching mechanism. The fence, wall or natural

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Risk Characteristic	Description
	barrier must completely surround the pool and provide a reasonably comprehensive barrier to entry. Fence or wall must be a permanent installation with a minimum height of 4 feet. • Above ground pools, less than 4 feet in height without a separate fence (4 feet or higher) or fenced without a combination or padlocked gate or self-locking or self-latching mechanism. • Pools with slides or diving boards. • Above ground pools 4 feet or higher that have immovable ladders. • Pools attached to decking that don't have locked gates (combination or padlocked gate or self-locking or self-latching mechanism). • Unfilled swimming pools that are not completely and securely covered (e.g., permanently anchored tarpaulin). Cinder block anchored cover is not sufficient.
Liability Exposure – Trampolines	Liability coverage for trampolines (with or without netting) is excluded via the Special Provisions and properties with a trampoline are eligible.
Liability Exposure – Skateboard ramps, bicycle jumps or any other attractive nuisance	Properties with skateboard ramps and bicycle jumps, treehouses, batting cages, zip lines, and any other attractive nuisance (except trampolines) are ineligible.
Liability Exposure – Animal Exposures	Coverage for all animals (including dogs) is excluded via the Special Provisions and are eligible. For an additional premium, we will consider removing the Animal exclusion and providing liability coverage for dogs that are not one of the prohibited breeds and have not previously bitten or exhibited any vicious tendencies. If approved we will attach the Dog Liability Endorsement HC0221303. For purposes of this endorsement, a "Prohibited Breed of Dog" means any one of the following: a. Vicious canine regardless of breed, that any "insured" knows or should have known has attacked, bitten, or otherwise caused "bodily injury" to any person; b. Akita; c. Alaskan Malamute; d. American Staffordshire Terrier; e. Boxer; f. Bull Terrier; g. Bullmastiff; h. Chow Chow; i. Giant Schnauzer; j. Great Dane; k. Mastiff; l. Neapolitan Mastiff; m. Ovtcharka; n. Pit Bull Terrier; o. Presa Canario; p. Rhodesian Ridgeback;

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Risk Characteristic	Description
	q. Rottweiler; r. Siberian Husky; s. Staffordshire Bull Terrier; t. Wolf or Wolf Hybrid; u. Any breed of guard dog such as a Doberman Pinscher, German Shepherd, v. Any mix of the above breeds. These Prohibited Breeds of Dogs are listed in the endorsement. Note: Service dogs trained to assist those with physical impairments or disabilities of any breed are eligible with proof of training as long as they have never bitten, attacked, or displayed vicious behavior.
Mold Exposure	A mold claim makes the policy ineligible unless the policyholder has obtained certification that their home has been remediated and is mold free via TDI form MDR-1. When the underwriter receives and approves a MDR-1 Certification, they will remove the associated claim from Loss History. Mandatory $5,000 mold coverage limit on all policies.
Landslide, mudslide and earth movement, including sinkhole	Properties with any prior slab, sinkhole damage or evidence of settling (cracks) in the structure, or located in area with sinkhole activity in the general vicinity, are ineligible. Zip codes may be added if and when sinkholes are identified.
Foundation Coverage	Foundation coverage limit options of $5,000, $10,000, $15,000 or $25,000 are available.
Tree Proximity Exposure	The following are ineligible: • A dwelling with a diseased or dead tree(s) in close enough proximity to any dwelling or an Other Structure to fall and do damage. • A dwelling with a large limb(s) overhanging the dwelling or Other Structure If the tree(s) are removed or large limbs trimmed away from the roofline, the dwelling or Other Structure is eligible. Note: All homes are inspected at new business to verify tree exposures - proof of removal of unhealthy trees and/or trimming of overhanging branches will be required.
Serious crimes	Any applicant/insured convicted of a felony involving insurance fraud, arson, bribery, theft, embezzlement, misappropriation of money or other property, or involved in a crime causing harm or injury to others in the past 6 years makes the risk ineligible. • If applicant/insured provides documentation that they have been granted a restoration of civil rights by the Governor and board of Executive Clemency, the risk will be considered eligible.
Misrepresentation	Applicants or insureds or any members of the household whose homeowners insurance policies have *EVER* been canceled or nonrenewed for material misrepresentation in an application for insurance or in the submission of a claim, or misrepresentation on the application for insurance for this policy are ineligible.
Loss history	Will accept up to 2 non-zero losses of any type (non-cat or cat) in the prior 3 years and up to 3 in the last 6 years.

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Risk Characteristic	Description
	• Prior appliance-related water claims shall not be counted if the policyholder has had the repaired appliance inspected and certified via TDI form WDR-1. • Prior mold claims shall not be counted if the policyholder has obtained certification that their home has been remediated and is mold free via TDI form MDR-1. When the underwriter receives and approves a WDR-1 or MDR-1 Certification, they will remove the associated claim from Loss History. The loss damage and condition causing any loss must have been repaired. • Note: This applies to all losses and not just mold-related claims. Regarding mold-related claims, the WDR-1 or MDR-1 forms further certify that the damages have been repaired and conditions rectified. 2 or more losses from the same peril are eligible only if: • The conditions which contributed to the losses are satisfactorily repaired, and • The losses are not related. Refer to underwriter for approval. Renewals with more than 2 non-zero, non-weather-related losses (excluding losses certified via TDI forms WDR-1 and MDR-1) in the prior 3 years may be non-renewed for claim activity provided that the customer was notified after the second loss that the filing of a subsequent claim may result in non-renewal.
Maximum Coverage Limits	Dwellings: • Coverage A (Dwelling): $2,000,000 ○ Coverage A in excess of $1,250,000 requires prior inspection or other documentation supporting replacement cost estimate. ○ 50% Additional Amounts Of Insurance option is only available for new business with Coverage A up to $800,000 and in force Coverage A up to $1.25 million. Risks over these limits are only eligible for 25%. • Coverage B (Other Structures): ○ 10% of Coverage A ○ HO 04 48 Other Structures On The Residence Premises Endorsement available to write increased limits on a specific other structure that is not rented to others. ○ HO 04 40 Structures Rented To Others – Residence Premises Endorsement to write increased limits on a specific other structure rented to others. • Coverage C (Personal Property): ○ 100% of Coverage A for both Actual Cash Value (ACV) and Personal Property Replacement Cost (PPRC) coverages. • Coverage D (Loss of Use): 30% of Coverage A • Coverage E (Liability): $1,000,000 per occurrence • Coverage F (Medical Payments): $5,000 per person • Loss Assessment: $25,000
Minimum Coverage Limits	Dwellings: • Coverage A (Dwelling): ○ Risks less than $85,000 will be referred to underwriting with photos and other documentation supporting the condition of the property. • Coverage B (Other Structures):

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<table>
<tr><th>Risk Characteristic</th><th>Description</th></tr>
<tr><td></td><td>

Zero - attach the Coverage B Other Structures Exclusion HC045141 (excludes all Other Structures and provides no Coverage B).
Coverage B can be purchased, and at underwriter's discretion a specific Other Structure can also be excluded via the Specified Other Structure(s) Exclusion HC175142 (excludes a specifically identified Other Structure).

Coverage C (Personal Property):

10% of Coverage A for both Actual Cash Value (ACV) and Personal Property Replacement Cost (PPRC) for all (1-4) families.

Coverage D (Loss of Use): 10% of Coverage A
Coverage E (Liability): $100,000 per occurrence
Coverage F (Medical Payments): $1,000 per person
Loss Assessment: $1,000

</td></tr>
<tr><td>Minimum Deductibles</td><td>
Dwellings:

All Other Peril (AOP): $1,000
Earthquake: 10%
Coastal Wind and Hail: See the Coastal – Proximity to Water section of eligibility

</td></tr>
<tr><td>Insurance to Value</td><td>
Dwellings must be insured to 100% of replacement cost.

Homes built prior to 1940:

Replacement cost is provided via the Functional Replacement Cost Loss Settlement Endorsement HO 05 30. A lower replacement cost factor is used.
Full "like kind and quality" replacement cost only available if customer accepts full factor.

</td></tr>
<tr><td>Fire Protection Class</td><td>
A Fire Protection Class (FPC) result is received as part of our normal address validation process. Based on the FPC result, eligibility of the risk location is determined as follows:
<table>
<tr><th>FPC rating, responding fire station and hydrant details</th><th>Eligibility</th></tr>
<tr><td>

FPC is any value, and
Driving distance to fire station is 5 miles or less, and
Hydrant is within 1,000 feet.

</td><td>Risk is eligible.</td></tr>
<tr><td>

FPC is 1 – 3, and
Driving distance to fire station is 5 miles or less, and
Hydrant is greater than 1,000 feet / no hydrant.

</td><td rowspan="2">Risk is eligible only if all of the following criteria are met:

Must be visible from the main, public road, and
Must have a Central station Fire alarm, and
Must be accessible by responding fire-fighting equipment year-round in all weather with a minimum roadway width of 10 feet.

</td></tr>
<tr><td>

FPC is 1 – 3, and
Driving distance to fire station is greater than 5 miles, and
Regardless of the presence or distance to fire hydrant.

</td></tr>
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<table>
<tr><th>Risk Characteristic</th><th>Description</th></tr>
<tr><td></td><td>
<table>
<tr><td>• FPC is 4 – 10, and
• Driving distance to fire station is 5 miles or less, and
• Hydrant is greater than 1,000 feet / no hydrant.</td><td rowspan="2">Risk is eligible only if all of the following criteria are met:
• Must be visible from the main, public road, and
• Must have a Central station Fire alarm, and
• Must be accessible by responding fire-fighting equipment year-round in all weather with a minimum roadway width of 10 feet, and
• Age of Home must be less than 25 years, and
• Primary occupancy dwellings only, and
• No rental exposures allowed, and
• No prior fire losses.</td></tr>
<tr><td>• FPC is 4 – 8, and
• Driving distance to fire station is greater than 5 miles, and
• Regardless of the presence or distance to fire hydrant.</td></tr>
<tr><td>• FPC is 9 or greater, and
• Driving distance to fire station is greater than 5 miles, and
• Regardless of the presence or distance to fire hydrant.</td><td>Risk is ineligible.</td></tr>
</table>
</td></tr>
<tr><td>Condition of the dwelling, premises and adjacent properties</td><td>The dwelling, the premises, and any other structures and all of its systems (electrical, heating, plumbing and roof) must:
• Be in good repair and condition, and
• Be adequately maintained to provide safe environment for anyone in or upon the residence premises.
• As all unsafe or poorly maintained conditions could not be listed, the following is not all inclusive, but the following are ineligible:
○ Dwellings with unrepaired damage (i.e., missing siding, fascia boards, soffits, gutters or cracks in the foundation).
○ Dwellings with more than 3 step risers without hand railings. (Note: Dwellings or other structures with more than three step risers but less than six without hand rails may be eligible for the liability surcharge. The following quotes/risks are not eligible for the liability surcharge; six or more steps risers, multi-family dwellings, dwellings rented at any time, basement steps or any steps that are in poor condition.)
○ Porches, decks or balconies 3 feet or more from ground must have minimum three foot railings.
○ Porches, decks or balconies above one story must have minimum 4 foot railings.
○ Dwellings with foundations, walkways, sidewalks, driveways and steps which could be considered a trip/fall hazard. (Note: These dwellings may be eligible for the liability surcharge).
○ Dwellings with doorways opening to unsafe areas (e.g., poorly or inadequately constructed or maintained porches or landings, no porches or landings).
○ Dwellings with unregistered vehicles, unsecured appliances or excess debris on the premises.</td></tr>
</table>

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Risk Characteristic	Description
	• Any residences are ineligible if adjacent property is in poor condition. Note: An otherwise eligible primary residence with an ineligible other structure could be eligible if the ineligible other structure is excluded via the Coverage B Other Structures Exclusion HC045141 (excludes all Other Structures and provides no Coverage B) or the Specified Other Structure(s) Exclusion HC175142 (excludes a specifically identified Other Structure). The underwriter must be satisfied that the primary structure is properly maintained and otherwise completely eligible.
Prior Insurance	Homes without prior insurance, including a lapse in insurance of 30 days or less are eligible if the applicant is not aware of any losses, accidents or circumstances which might give rise to a claim during the period of lapse. Homes without prior insurance, including a lapse in insurance of 31 to 120 days, must be referred to Underwriting for consideration and approval. A No Loss Letter must accompany the referral. Homes without prior insurance, including a lapse in insurance of over 120 days are ineligible.
Condition of the dwelling and Other Structures – Major Renovations	Properties (main dwelling and other structures) undergoing or planning to undergo major renovations are ineligible. • Major renovations include substantial/significant additions or expansion to existing structures, changes to the interior configuration of the home (walls removed, new bathroom/kitchen remodels, etc.), or major alterations to structural and/or mechanical, electrical, heating or plumbing systems. Underwriters will consider referrals for situations where the insured will occupy the house during the renovations or the renovations will be complete within 30 days. The referral must include a description of the renovation(s) and when the owner will occupy the property.
Condition of the dwelling and premises – Plumbing System	All pipes and fixtures must have been maintained and updated in good working order. Homes with Polybutylene pipes are ineligible.
Condition of the dwelling and premises – Electrical System	Electrical systems for dwellings are ineligible if they have: • Less than 100 amp service. • Federal Pacific, Zinsco, Magnetrip, Challenger or Sylvania FPE Stab-Lok circuit breakers or electric panels. • Any aluminum wiring, knob and tube wiring or fuses. ○ Exception: Multi-strand aluminum wiring is approved by building codes and regularly used for service cables (the main electric wires coming into the home's panel) and for wiring to major appliances, such as air conditioning condensers. These exposures are eligible only.
Condition of the dwelling and premises – Heating System	The dwelling must have the following in order to be eligible: • A thermostatically controlled central heating system. • Furnace or burner must have been replaced within the past 30 years, unless inspected by a licensed HVAC contractor attesting to its mechanical soundness. This must be provided in writing on the contractor's own letterhead and reviewed by underwriting prior to binding.

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<table>
<tr><th>Risk Characteristic</th><th>Description</th></tr>
<tr><td>Wood Stoves, wood pellet stoves and coal stoves</td><td>Dwellings with wood, wood pellet and coal stoves are ineligible.</td></tr>
<tr><td>Condition of dwelling and premises – Roof</td><td>The following non-permanent roofing materials require a roofer's statement attesting that the roof is in good condition and does not require replacement:
Roofs of non-permanent roofing materials (e.g., asphalt shingles, wood shingle/shakes, rubber, etc.):
over 15 years old – for 3 tab asphalt singles or other non-permanent materials (except Architectural shingles)
over 25 years old – for Architectural shingles
The statement must be on the Roof Condition Form or the roofer's own letterhead and include the roofer's license number (if available) and signature.
Properties with the following are ineligible:
Roofs showing signs of advanced age including patching, evidence of leaks, lifting, curling or broken shingles.
Roofs with unrepaired damage, or accumulated debris including excess moss growth.
Flat roofs that have not been fully renovated are ineligible with a prior roof-related wind or water loss. Refer to underwriting with a prior wind or water loss.
Metal roofs on the primary dwelling, other than steel (e.g., aluminum or tin of any gauge or light weight steel less than 29 gauge). Steel roofs must be a minimum 29 gauge and properly installed and maintained in accordance with manufacturers' specifications and local building codes. Patio covers and other structures with metal roofs are eligible.
More than two layers of shingles or roofing materials (includes flat roofs).
Roofs with/of T-Lock or inter-locking shingles.
All policies will automatically include an exclusion for Cosmetic Marring due to hail to all roof types. Cosmetic Marring due to hail to all other property covered under Coverage A and B is subject to a cap of 2% of the applicable coverage limit. A signed acknowledgement will be required.</td></tr>
<tr><td>Watercraft Liability</td><td>Watercraft Liability Coverage endorsement is not available.</td></tr>
<tr><td>Scheduled Personal Property Endorsement</td><td>The following are eligible for Primary dwellings only. The Scheduled Personal Property Endorsement cannot be attached to any:
Secondary or Seasonal residence
Any property rented or held for rental.
Standard loss settlement coverage form HO 23 03 only. This endorsement covers all classes of personal property at Standard replacement cost, except for Fine Arts, which are always covered as Agreed value in the HO 23 03 endorsement loss settlement provisions.
HO 04 60 Agreed value loss settlement endorsement is not available.
<table>
<tr><th>Class of Property</th><th>Maximum Limit per Schedule</th><th>Maximum Limit per Scheduled Item</th></tr>
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Jewelry	$50,000	$25,000
Furs	$20,000	$10,000
Fine Arts (Breakage Coverage is not available)	$50,000	$25,000
Silverware	$20,000	$10,000
Cameras	$10,000	$10,000
Musical Instruments	$10,000	$10,000
Golfers Equipment	$10,000	$10,000
Postage Stamps	$10,000	$1,000
Rare & Current Coins	$10,000	$1,000
Total all classes combined	**Dwellings: 40% of Coverage A**	

The company may approve exceptions up to double the above limitations provided the items are consistent with the risk and insured's characteristics.

Note: The referral should include the following information:

- Occupation of each Named Insured
- Do they travel frequently?
- Do they use hotel safes (when travelling)?
- How often is item worn (if applicable)?
- Where is the item stored when not used?

Applicant must provide:

- A complete description of all items.
- A current appraisal or bill of sale (within 5 years) for all items of $10,000 or greater. These appraisals/bills of sale must also contain a full description of each item. These will provide proof of ownership and help establish a value in the event of a claim.

The following make scheduled personal property ineligible for this policy:

- Two inland marine or theft or mysterious disappearance related losses of any type in the past 6 years, or
- Adjusted Insurance score less than Fair (<500).

Earthquake Coverage	Earthquake coverage is available. For additional details, see guideline section for Minimum Deductibles.

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Risk Characteristic	Description
Additional Amounts of Insurance or Additional Replacement Cost Protection	If full replacement cost coverage is selected, dwellings with unique, unusual or special construction features are not eligible for this coverage. Examples include: • Extensive ornate woodwork, wallpaper, flooring. • Stained glass windows. • Extensive slate roofs or other rare roofing or exterior materials.
Motorized Golf Carts – Physical Loss Coverage Only	The Owned Motorized Golf Cart – Physical Loss Coverage Endorsement is not available.
Coastal – Proximity to Water	The following Coastal Underwriting guidelines divide Texas into five (5) locations: • **Extreme Hazard Locations** • **Very High Hazard Locations** • **High Hazard Locations** • **Moderate Hazard Locations** • **Low Hazard Locations** From a coastal standpoint, we define and underwrite these locations as follows: **Extreme Hazard Location** properties are Ineligible. Extreme Hazard locations are defined as any property located: • On a barrier island • On Bolivar, Matagorda or similar peninsula • Within 3 miles of the designated primary shoreline in a tier 1 county • Within 0.1 miles of the designated primary shoreline in a tier 2 county • Within 0.04 miles of designated inner shoreline • Any risk, regardless of the distance from the designated shoreline, located in the "front" or "first" row of dwellings, and subject to the full force of the winds. **Notes:** o All measurements references are from "mean high tide". o In applying this guideline, consideration will be given to trees that are in between the "front" or "first" row and the designated shoreline. These will be handled one by one on an exception basis. • Designated as insufficient rate. **Very High Hazard Location** properties are eligible with a: • 5% Wind and Hail Deductible, or • 5% Hurricane Deductible and a 1.5% AOP Deductible Very High Hazard Locations are defined as any location not designated as an Extreme and located: • In Galveston, Brazoria or Chambers county. **High Hazard Location** properties are eligible with a: • 3% or higher Wind and Hail Deductible, or • 3% or higher Hurricane Deductible and a 1.5% AOP Deductible High Hazard Locations are defined as any location not designated as an Extreme or Very

This list is not all inclusive. If any questions, please check with your underwriter.

Risk Characteristic	Description
	High Hazard and located in Harris county within 5 miles of the designated primary shoreline. **Moderate Hazard Location** properties are eligible with a: • 3% or higher Wind and Hail deductible, or • 3% or higher Hurricane Deductible and a 1.5% AOP Deductible Moderate Hazard Locations are defined as any location not designated Extreme, Very High or High Hazard and located in: • Harris or Fort Bend county. **Low Hazard Location** properties are eligible with a: • 1.5% or higher Wind and Hail Deductible Low Hazard Locations are defined as any location not designated Extreme, Very High, High or Moderate Hazard. **Properties with Wind or Hail Exclusion**: The Coastal guideline does not apply for policies written with a wind coverage exclusion (HO 04 70) with wind coverage provided through TWIA. Properties are eligible regardless of hazard location and no wind/hail or hurricane deductible is required. **Definitions of Primary and Inner Shorelines:** • The **Primary Shoreline** is generally defined as: ○ the ocean shoreline, or ○ the shoreline for the larger open bays, sounds and marshlands between: ▪ barrier islands and resort islands and the main coastline, or ▪ the main coastline and the open ocean. • The **Inner Shoreline** is generally defined as the shoreline for inlets, bays, river mouths, intercoastal waterways, etc. that extend from or are near the ocean. **If there is any overlap with any Designated Primary Shoreline, the Primary Shoreline will apply.** **These general definitions may not specifically apply to every property, so if there is any question as to the location of a property relative to the applicable designated shoreline, please quote the property in question or contact your underwriter.**
Wind Hail Exclusion	Requests for the Wind Or Hail Exclusion provided via an HO 04 70 Windstorm Or Hail Exclusion – Texas endorsement require: Prior to binding coverage, the applicant/named insured must: 1. Sign, date and submit a Windstorm Or Hail Exclusion – Texas endorsement HO 04 70. 2. Affirm that they have obtained Wind Hail coverage through TWIA. A policy number, effective/expiration dates nor copy of the TWIA policy is required. The Coastal – Proximity to Water guideline does not apply to policies written with exclusion.

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Risk Characteristic	Description
Coastal Flood – Dwelling Forms	Any property that is subject to wave wash must have a Flood policy: • With limits equal to the policy's Coverage A limit up to the maximum NFIP coverage offer (currently $250,000 for dwelling coverage). • Excess flood is not required. • Wave wash is deemed to apply to any property located: ○ in a FEMA special flood hazard zone, and ▪ Within 2½ miles of any designated primary shoreline with an elevation of less than 25 feet, or ▪ On a barrier island, or ▪ On Bolivar, Matagorda or similar peninsula.
Inspection	All dwellings are subject to inspection at the time of new business, which includes an on-site observation inspection of the dwelling, other structures, and the premises. The inspection validates eligibility per our underwriting guidelines at the time of the inspection, including the property condition, application responses, and confirmation of replacement cost of the dwelling. Any risks where the insured either refuses inspection or the inspector is unable to have reasonable access to the property to be able to complete the inspection makes the risk ineligible and the policy may be subject to cancellation.

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TX Occidental HO3

Revised 12/02/2025

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